IDS Notes: xPay (with internal views)

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Founder Profiles

1. Aniket Gupta – ceo, xPay (2.5 yrs); founder, disruptX labs (2 yrs); Growth, Alchemy (1 yr); co-founder @ ingig (1 yr); Associate @ Goldman (3 yrs); IIT R '17 (CS)
2. Rakshit Bansal – cto, xPay (2.5 yrs); SDE III, Observe AI (3 yrs); SDE, Flipkart (1.5 yrs); SDE, CISCO (2.5 yrs); IIT Patna'17

BRCs on founders

Rajan Bajaj @ Slice

VV's takeaway - clearly zpikey read, but not useful on holes

Vikram: Would love your views and can do a short 5 min call to reconnect
Vikram: If super busy time, then just send me a voice note and will come see you

Rajan Bajaj: Super sharp person. And no red flags on ethics, or general behaviour..will take the founder bet if it were me

Vikram: Thanks !
Biggest strengths ?
Biggest area of growth as a founder?

Rajan Bajaj: He is a 10/10 kind of founder. Maybe just a bit young so wisdom will come with grey hair

Prashant Sachan, AppsforBharat

- ++ guys are good, founder
  - **++ Aniket is sharp, high clarity of thought and intention to learn**
  - Resillient
  - Responsive, helpful in solving problem - unlike large companies
- ++ **"Mean execution machine" – "look at the money he has raised to build this"**
- ++ Spends time with me outside of work –

    - Recently came to understanding org building
    - ***"He takes perspective from multiple people and then makes his decisions"***
    - Growing with time

Anil Goteti

Context – we connected Anil and Aniket as part of the evaluation

Caveat here is: Anil has met Aman Goel, Saurabh Jain and Utkrishta of Oolka and is generally benchmarked to more mature and *"polished/tenured"* people so would adjust the feedback for that. That being said, his views seemed on the margin/lukewarm basis my read and turned slightly more negative (on the founder) once we discussed his and our experiences in depth. Key highlights captured below:-

- + Good, young entrepreneurial guy
- ? But felt super raw when I met him - and other founders like Aman, Saurabh and UK are 1-2 notches above him
    - Would expect far more maturity when you need to handle multiple regulators like Indian and US ones
    - *"Aman can work with Rajeev Ahuja at RBL Bank, so not that young guys cannot be mature"*
- ? Didn't seem to have clarity of thought. Came in and asked me *"Anil should I be raising capital now or not"*
    - I told him I don't know your business, where you are in the journey etc. so should know that to give you an answer
- **When probed further on what stood out/what did he like? - "***Umm..... honestly didn't see that one spike. If you ask me - and this is not to put you off if you have already taken a decision, but nothing really stood-out as such"*
    - + He has done a great job of building this business with very little capital-raised and is profitable
    - + Must've found a very good wedge to get into these merchants and serve them
    - *But question to answer is will this be a large outcome or a small profitable one?*
- Did mention that there is competitive intensity here on the deal - but I cannot tell you who it is. Told me there is 1 other fund
    - *"But my advice to you is - I wouldn't take that FOMO and do the deal. Would be careful about trusting him though"*
- **Again between the lines, when I shared anecdotes of interactions with Aniket - *Anil also mentioned getting vibes of a trust gap/deficit* -** so just something I am calling out here.....and overlaps with our original read/smell-test call out...

Arindam Ghosh - Curie Money founder

Context – Arindam was with Aniket at both IIT R and Goldman Sachs (though part of diff teams at GS). He also referred to him to Slice for the dev project.

Feedback is quite strong overall, he had context on journey from IIT R > Goldman > Slice > xPay which may also mean this is slightly coloured. However, he called out saying if he was an angel then he wouldn't have shared feedback considering the conflict and we have also been helpful to Arindam over the past year with BFSI connects –

- ++ High agency person even back then
    - Showed initiative - building products, tried something of his own
    - Entrepreneurial since the start – high ambition and building something of his own
- ++ Academics - good but not the persona who goes for 9 pointer and immediate masters
    - Was confident he would be able to pull a job he wanted
    - More like an all-rounder, was more focused on projects
- ++ Very sharp - one of the sharpest in our batch – would say top 10 percentile easily
- Introduced him to Slice while I was there -
    - Arindam Wasn't directly involved but Aniket was creating an identity protocol on top of blockchain - smart contracts
    - Mredul Sarda was the POC at Slice (*have gotten connected and will do the BRC*)
    - ++ Feedback was good - he delivered and Slice was investing actively into the project but then Slice changed focus due to PPI issues
- Was part of Fixed Income strats at Goldman - joined Citi for a month from campus but moved out in a month, work and team quality was bad and it wasn't one of the sought after placements on Campus - interviewed outside of campus with Goldman and got in
    - ++ Had done pretty well at Goldman and was quite happy there – *doesn't have a deep view as they were part of different teams*
- ++ Has the charisma to rally people around him - somebody who people liked to chill with, want to have a drink with

- ++ He is a resilient guy - tried to build something, failed, consultancy and again tried
- ++ From a fintech perspective, how would you rate him *(context – Arindam has engaged deeply with RBI on their product and gotten all necessary sign-offs as a first mover in the space)*
    - He spent time with me after the RBI audit to understand how it was
    - I know the MOR route he is operating under as well and the PA CB partnership with X flow
    - As far as he knows Aniket has taken guidance to arrive at an answer here
- ?? He had some early issues with customer churn apparently
- ?? Probed multiple times on watchouts, just said –
    - Back in college, at times he would get too attached and didn't let go of things when he could have
- ++ Would have angel invested without a miss, if I had capital

Mredul Shah, ex-Strategy & Ops @ Slice

Context – After Slice's PPI related impact, they were running 8-10 projects to figure where can they expand, for 2 of these, Aniket was brought in as a consultant. Mredul was the POC for the same.

- ++ Very smart and obsessive personality – high attention to detail and work ethic
    - Was thinking of starting up in 2023
- ++ High work ethic – at Slice we could depend upon him
- ++ Within the top 5 founders I have met till date (which includes Rajan)
- ++ **Rajan worked closely with him- he wanted to get Aniket on board as CTO** - we wanted to incubate him for this cross border start up too, had set up a Slice also set up a US entity for the same but Aniket wanted to build it on his own. Why the interest?
    - Aniket has a lot of depth
    - Rajan looks for smart, customer obsession and depth – Aniket met all
- ++ Resourceful - figured out network in US market as well in crypto world when we needed – created access within a large bank for us without us knowing him for long
- +? Very perfection oriented which can be an issue in 0 to 1 – we would want to iterate quickly, and he wanted to scope the problem first
- +? Enterprise sales –

    - Came via warm intro so not much pitching
    - Bahut hard negotiator hai
- ?? Key watchouts – micro-cap?
    - Used to keep pushing him to think big
    - His plan in life was to keep running the services firm and generate profits
    - Very dhandha type mindset
    - Met me a few months ago and said "I have figured it out, will make it big now"
- ++ Wanted to angel invest –
    - YC round he wanted to raise $1-1.5M at $15M post but didn't get, closed whatever he got without informing
    - Didn't take money from any angels
    - Tried to invest again in Feb-25 but he didn't take

Swapnil Jain, Co-founder @ Observe AI

Overall feedback - strong engineer, hustle and high ownership person.

I did not invest since I did not understand the space.

BRC with Keshava Murthy, founder @ Matters.AI (ex-Observe AI)

Context – Keshava and Rakshit have Observe AI as a common link while Aniket is an angel in his company. Ashwin knows Keshav and helped with the ref.

On Rakshit

- ++ Engineering side - top 5% for sure, no doubt (Keshav ranked himself as Top 5% as well and not Top 1%)
    - More of a guy who plans and then executes - not the type who directly executes
    - Very clean structurally - used to come with very good product specs
    - Understanding problems, writing statements and finding solution
    - Sumit, Ayush were top 1% - top notch on understanding both product and platform - but Rakshit also didn't have enough experience
- ++ Rakshit is street smart - very straight forward and first principles - baniya, very very structured in execution
- ++ He knows everything - you can talk to him about anything
- ++ Depth is very high - before approaching any problem he would go fully deep
- ?? Very kanjoos in spending - looks for RoI always
- ++ Outcome based guy – designs structures and gets people to deliver – knows how to extract the work
- ?? He has to be a people person eventually - he is a nerd/introvert today

On Aniket

- ++ He is top 1% of seed stage founders

- ++ from when I met him first to conversations even today - he asks very great questions
- ++ Aniket is an extreme extrovert
- +? Always tries to sell - any conversation will end up with him pitching his product
- ?? Watchouts - Micro-cap thinking – keeps passing this statement *"Hum nahi kahenge or something like that"* –
    - Ambition is there but personality to scale isn't there
    - Needs to compound there
    - Could be a function of no investment today

Shivam Garg (co-founder in Aniket's first startup)

Summary – table thumping ref on Aniket but I would take it with a pinch of salt as Aniket had elevated Shivam to co-founder status and there seems to be positive bias from there.

1. Ingig (*last startup*) shut down due to funding issues
    1. Hustled a lot – planted himself into communities, got to 70 shows in 4 months
    2. Young and realised later business itself not great
2. ++ Brilliant guy - rare species that is good at both tech and business
3. ++ Super hardworking and high hustle
    1. Aniket should learn how to take a chill sometimes - had health issues in the middle due to high intensity
4. ++ Want to invest in xPay but don't have the money
5. ?? Watch-outs –
    1. May be hard to work with for some people, as he is highly demanding - but called out saying it's good for growth *"every EE should have such a manager as per me"*

Sachin Gupta (Engineering @ Observe AI)

Context – Sachin was Rakshit's manager at Observe during his last 9 months there

- ++ Lead of the team - worked closely on improving the observability stack and delivered quite good output
- ++ Close mentor to college people - if you speak to them, they will tell you that he was a great mentor - Was able to lead and guide SDE1s and SDE2s easily
- ++ Top 1%, out of the box, smart fellow, diligent
- ?? When he was committed, output was good but when he thought of starting up, he got tuned out; which if we knew earlier could have planned better professionally

Founder BRC with Twinkle Barot

Context – Twinkle was the product lead at Aniket's previous startup, Ingig.live. She worked remotely but there were daily check

++ Good to work with - very passionate, team player
++ Highly driven
++ Detail oriented – good at problem solving
?? Very opinionated – doesn't take feedback easily

Customer BRCs

Prashant Sachan, AppsforBharat

Context – Sri Mandir is one of xPay's early clients and the only one where there has been a sustained drop in TPV. Prashant's feedback was positive on both the founder ("mean execution machine". sharp, clarity of thought, intention to learn) and product (better conversion, pricing than peers), drop was more led by diversification of payment partners to accommodate an existing domestic partner (seemed like Razorpay). Key call-out is that this is the 3rd conversation where we have heard that Aniket spends time with the respective person to get advice.

- ++ guys are good, founder
  - **++ Aniket is sharp, high clarity of thought and intention to learn**
  - Resillient
  - Responsive, helpful in solving problem - unlike large companies
- ++ **"Mean execution machine" – "look at the money he has raised to build this"**
- ++ Spends time with me outside of work –
  - Recently came to understanding org building
  - ***"He takes perspective from multiple people and then makes his decisions"***
  - Growing with time
- ++ What sets the product apart?
  - **Better conversion, pricing - very simple method of choosing a PG**
  - Previous experience of running a dev-shop helps him in providing a better service and experience
- Sri Mandir doesn't build chargeback issues due to trust markers built into the product
- ?? Reason for drop in TPV and how critical is the relation?
  - **Didn't want to depend on one player and hence diversified, have moved only 25% of volumes**
  - We will continue to use it
  - Global flows are 4-4.5 crs p.m. and expect this business to become of large scale

Client BRC with Anmol Jain, Founder @ Astrotalk

++ Young guys, easy to talk, understand requirements and build from there
++ This model works well for us –

1. Rates are decent 4-4.5% on a blended basis - fixed and variable
2. Even if a US entity is put up, Stripe would charge 3% + cost of forex to get to India, not worth the hassle

+? Benchmarking to Dodo –

1. Both founders are great
2. Success rates for both are same
3. Prefer Dodo in cases where we don't want to handle taxation, compliance

++ xPay is bigger today because cause recurring payments for us was built on it, but now dodo also has recurring. Dodo may cross xpay if they don't build the compliance leg, but understand they are also adding it now

?? Razorpay has improved meaningfully on success rates, and pricing is lesser - that's why I continue working with them for some business. If they land at the same success rate, preference would be to work with them

BRC with Vikas Pareek, VP Finance @ Bhanzu

++ Solves for success rates and cost through local clearing – better than peers
++ Just launched a month ago and already got to 25% of volumes – will be moving most of our collection in US to xPay
++ Doesn't make sense to set up with a US entity or work with Stripe as transaction cost and forex costs are higher than xPay
++ Quite talented team – small but effective
?? Riskier because they are clearing locally and hold the money momentarily, unlike a PG where money is held in an escrow – but now settlement is at T0

Client BRC with Nitin Verma - Founder @ Insta Astro

Using Dodo, xPay, stripe and Razorpay

++ xpay and dodo are leaders in success rates (88-89% v/s 80-81% for others) – applepay checkout is very smooth
++ xPay product is better than Dodo –

- Has all currencies
- Clearance mechanism is better
- Integration was smoother

++ Tailwinds on international business - grown from 5% to 35% over last 18 months - expect to get to 50/50

++ Won't do international entity ourself – too much headache, will continue to work with xPay and Dodo
?? Solution is pricey, if Razorpay success rates got higher, would reconsider

Customer call w/ Anushka Anand (Sr PM @ AppsForBharat)

Context: Prashant Sachan introduced us to Anushka since she was responsible for the XPay roll-out. Even the XPay CoFo had flagged that AppsForBharat has moved off Razorpay to XPay.

Extremely positive | should spend more time on customer references & take seriously
++ Xpay is now rolled out to 100% global audience || Razorpay is a fall back
++ on KPI is better than Razorpay e.g. PG landing → payment success :: 10% higher for XPay (43%) viz 33% Razorpay

1. Did CBA (Cost Benefit Analysis) — XPay is more expensive on txn cost but due to metrics uplift it is ROI positive

++ on other metrics also better than Razorpay e.g. Payment attempt → success: Razorpay 70% viz XPay 88%
?? Early scaling issues e.g. slow support & lack of integrations

Industry Chats

Matt Brown and Dana Stalder, Matrix US

Matt Brown
Between Stripe's Lemon Squeezy acquisition, the Outpost round, and a few others (e.g., Polar, a more dev-centric, AI/usage-billing first MOR play), MOR has gotten hotter in the US/EU. These all have different answers to the "why now": more digital service tax enforcement, more complex VAT/GST regimes, AI builders needing more usage-based tooling and entitlements, etc.

Fraud and guaranteed payments are necessary but not sufficient for a big durable company here IMO. That gets you to Paddle / FastSpring scale. But to go beyond that I think you need to use MOR as a wedge to something that's more vertical-specific.

Dana Stalder

- Huge TAM. Lots of competition.
- Many have gotten to pretty big scale. I would put PayPal and Stripe both in the cross-border XB MOR space. Adeyan and Checkout and most traditional acquiriors have avoided it.
- Some of the pure plays have gotten strong traction, but are a bit dated. Lemon Sqeezy got taken out super early, so they aren't a proxy for anything.

- Ive always feared they all are ultimately commodity businesses and it will be hard to compete with big players like PP and Stripe. I still feel that way.

You definitely need to differentiate and dig a moat. I think that is generally risk / guaranteed payments. We more recently saw one called Outpost in the UK that was trying to differentiate on legal entity structure and handling all the customs compliance. Its a good idea. The Series A Priced irrationally, so we backed off.

FastSpring (pure-play MOR player backed by Accel-KKR) and Visa

Key takeaways

- MOR models not facing licensing or card network related issues, model is well recognised and operates as both pure-play or part of a bundled offering –
  - Recognize as managed marketplace by both card networks and from a licensing perspective
  - PayFac licensing not required by networks
- Card network not concerned about loss of cross border income due to MORs, as it forms a very small part of overall business and natural trend
  - ~80% of business is issuing focused
  - Similar trend seen with players like Stripe
- Card networks are purely concerned by chargebacks and fraudulent activities –
  - Need to have very clear merchant monitoring systems
  - >50 bps chargebacks go into monitoring, merchant should be able to demonstrate adequate risk frameworks / proof of delivert
- Strong merchant and chargeback management is a must have to manage card networks *(push back to acquirers from card networks otherwise)*
- Scaling up in pure MOR models is tough (larger ones are at $2B TPV p.a.)
  - once the merchants become large, setting up own entities for local clearing to save cost becomes justified for them

Detailed notes

Network chat with Abhijit Sinharoy – ex-VP & Head of Risk @ Visa

Network Classification

- Networks don't recognize distinct MCC category for Merchant of Record businesses, they fall under marketplaces
  - **MasterCard has "managed marketplace" code, Visa uses general marketplace classification**
  - Paddles of the world fall here, and well recognized industry norm

- Classification rationale from network perspective:
  - Networks understand acquirers will keep innovating
  - Primary concern is responsibility and accountability at acquirer level
  - Networks focus on who holds acquiring license and liability, not business model nuances
  - **Acquirer (e.g., Stripe) responsible for all merchants under their license regardless of MOR structure**

- MCC treatment matters for risk assessment:
    - Networks can identify high-risk merchant categories
    - Automated systems flag violations by merchant category codes
    - **MORs must demonstrate knowledge of what their sub-merchants actually sell**

Chargeback and Fraud Monitoring Thresholds

- Current thresholds (by transaction count, not percentage):
    - 30-35 bps standard
    - > 50 bps excessive
    - Dispute can be raised by acquirers on behalf of merchants if chargebacks are due to first party fraud, common in some categories
    - There needs to be "proof of service" to get leeway

PayFac vs Marketplace/MOR Liability Models

- No regulatory requirement to be PayFac to assume chargeback liability:
    - Networks don't mandate specific licensing for liability assumption
    - Chargeback flows to acquirer regardless of downstream liability arrangements
    - Commercial agreements between acquirer/MOR can allocate risk without PayFac license

Impact of loss of cross-border income by card networks due to MORs

Network revenue distribution heavily weighted toward issuing:

- ~80% of network revenue comes from issuer side of transactions
- Acquiring business significantly less profitable due to competition and operational costs
- Local acquiring adoption doesn't materially threaten network economics
- Converts cross-border volume to domestic volume, reducing network interchange
- Networks accept this as natural business evolution rather than competitive threat

Acquirer Accountability and Automated Monitoring Systems

- Two primary violation categories tracked:

1. Brand integrity violations
2. Illegal content/activities

- Monitoring process mechanics:
    - Excessive fraud/chargebacks - automated thresholds trigger acquirer notifications
    - Web crawlers scan merchant websites and storefronts continuously
    - Automated reports generated showing violations

    - Acquirer receives specified timeframe to remediate
    - Escalation to fines/penalties beyond grace period

Risk Patterns in MOR/Aggregator Models

- Transaction layering under legitimate MIDs:
    - Unauthorized merchants process transactions through legitimate merchant accounts
    - Original merchant may be unaware of the layering scheme
    - Creates liability concentration risk for acquirers and MORs taking chargeback responsibility
- Adequate KYC/monitoring requirements:
    - Website verification and ongoing monitoring (not just initial onboarding)
    - Understanding actual products/services being sold vs. stated business
    - Transaction pattern analysis to detect volume/geography shifts
    - Proof of legitimate business operations and fulfillment capabilities

Network chat with Dan Garcia – ex-Sr. Director @ FastSpring and ex-Director @ PayPal

- **Core concept**:
    - Leverage volume for lower processing rates, then charge suppliers a premium
    - Card networks only recognize merchants, marketplaces, and payment facilitators – MORs covered under these and not a separate category
    - No implications from a regulatory perspective – considered as a merchant for all purposes

- **Liability structure**: MOR bears full responsibility for all supplier actions and compliance failures
    - All fines flow up to the MOR regardless of which supplier caused the violation
    - Regulatory pressure flows down: regulators → card networks → acquirers → MOR → suppliers

Value Proposition & Economics

- **Fee structure comparison**:
    - Direct processing: ~2.25% + $0.30 (US domestic baseline)
    - Cross-border transactions: Additional forex conversion
    - MOR pricing: ~4.5% all-in with various add-on fees
    - Chargeback handling: $20 per transaction
    - Various other transaction-specific charges layer on top

- **Bundled services included**:
    - Checkout pages
    - Local payment method orchestration

    - Cross-border transactions and forex with built-in currency conversion
    - Tax compliance management
    - Chargeback handling and dispute management

- **Cost arbitrage model**:
    - MOR maintains entities in multiple countries to optimize processing rates
    - Domestic transactions in each country achieve lowest possible interchange rates
    - Entity setup costs, compliances and thresholds make direct expansion prohibitive for smaller merchants

- **Chargeback revenue model**:
    - $15 cost from acquirer per chargeback
    - $22-25 charge to suppliers generates $7-10 profit per dispute

- **Forex component**: Significant value-add for international transactions, major profit center beyond payment processing

Compliance & Underwriting Workflow

- **Initial supplier onboarding requirements**:
    - AML/KYC, Sanctions
    - Purpose and business model documentation for risk assessment
    - Typically done via 3rd party vendors
    - Continuous website crawling
    - Alert systems trigger when suppliers deviate from approved business models

Acquirer & Card Network Dynamics

- **Compliance purge cycle patterns**:
    - **Historical precedent**: Stripe, WorldPay, Adyen conducted major merchant purges 2-4 years ago to manage card networks
    - Stripe acquired LemonSqueezy to move risk in-house and not lose business
    - High-volume relationships receive support from card networks during compliance reviews

- **Country selection criteria**:
    - Focus on jurisdictions with robust background check infrastructure
    - Preference for countries with reliable government database connectivity

- **Fine structure and regulatory enforcement**:
    - **Major violations**: $5 million fines for significant compliance failures (Paddle experienced)
    - **Mitigated penalties**: $50-100K when proper third-party vendor documentation exists

Chargeback Management & Operational Metrics

- **Industry threshold requirements**:
    - Digital goods: 50 bps
    - Physical goods: 90 bps
    - Thresholds vary by business model and geographic mix

Scaling Constraints & Volume Economics

- **Volume graduation ceiling**: ~$2 billion TPV p.a.
    - Merchants transition to direct processing - economic justification for pure MOR services diminishes at scale
    - Large merchants can justify dedicated development resources for direct integration

Gaming industry market dynamics:

- Large international gaming publishers choosing MOR despite scale advantages
- Economic comparison: 5% MOR fee vs 30% Apple Store commission creates compelling value

Business Model Variants & Adjacent Players

- **Core merchant of record players**:
    - **Paddle, FastSpring, Lemon Squeezy**: Pure MOR model with full liability assumption

- **Adjacent business models**:
    - **Rapyd**: Primarily PSP with some merchant of record elements
        - Signing merchants up for direct merchant accounts rather than assuming liability
    - **Global-e**: Internet merchant accounts with selective MOR services
        - Hybrid model combining direct merchant setup with MOR-style services
- **Hybrid platform approaches**:
    - Some players offer both direct merchant onboarding and MOR services
    - Flexibility allows adaptation to merchant size and compliance requirements

Ashwin Bhatnagar - co-founder, xFlow and ex-Stripe

Context – xPay works with xFlow and Skydo as PA-CB partners for the cross-border leg and settlement of transactions in India

Key takeaways

Table thumping feedback overall -

- XPay has clear success-rate alpha compared to Razorpay (90%+ v/s 60-65%);
- Even when benchmarked to other MOR players (including global ones like Paddle and LemonSqueezy) - xPay is ahead basis both internal assessment and merchant feedback
- Regulatory structure is clean **–** xPay is an orchestration layer for local providers *(to manage success rates, where it partners with Stripe, Adyen, etc.)* and partners with PA-CB players like Xflow and Skydo for cross-border leg and India settlement – given money is not "touched", they don't have any licensing requirements
- Considering money flow into India and settlement in India is managed by PA-CB players (xFlow, Skydo), burden of RBI compliance lies with them
- XPay undertakes underwriting risk on merchant – higher margins compared to other cross-border models are driven by this risk
- Xflow is now exploring a strategic partnership Xflow to take them to all their merchants (~30k) – *"we are fans of their checkout product"*

Hence, questions to probe are around risk and not regulations -

- Risk underwriting discipline
- Merchant mix quality
- Chargeback & reserve strategy
- Scaling without loosening filters

<u>Notes</u>

1. Xflow's Role in the XPay Stack (High-level)

- **Xflow =** licensed money movement + compliance infra
- **XPay =** merchant-facing layer + MOR (Merchant of Record)

Clear separation:

- XPay **does NOT touch funds**
- Xflow is the **licensed money holder & remitter**
- XPay is a **technology + MOR layer**, bearing commercial and fraud risk

2. End-to-End Payment Architecture (Inbound Flow)

A. Three-step flow

1. Local collection outside India
2. Cross-border movement into India
3. Final payout to Indian merchants

B. US Collection

- Xflow holds **Money Transmission Licenses (MTLs)** in multiple US states
- Funds are collected into:
    - **JP Morgan Chase FBO / escrow-equivalent account**
    - Funds are legally under **Xflow's license**, not Stripe, not XPay

C. Stripe's role

- Stripe = **front-end card processor only**
- Stripe settles into **named virtual accounts** provided by Xflow

- XPay integrates Stripe, but **never holds funds**

D. Ledgering & payouts

- Single pooled US account
- **Virtual ledger maintained by XPay**
- XPay instructs Xflow:
  - "$100 collected → $5 retained by XPay → $95 paid to merchant in India"
- Xflow executes FX + remittance + payout

3. Regulatory & Licensing Structure

US

- No PAPG equivalent
- Requires **state-wise Money Transmission Licenses**
- Xflow has done the "hard work" here
- Without this license:
  - XPay cannot legally hold or move money in the US

India

- Xflow:
  - Onboards **every Indian merchant**
  - Responsible for **RBI compliance**
  - Cannot rely on Stripe or XPay's checks
- XPay:
  - Does NOT aggregate or hold third-party funds in India
  - Therefore **outside PAPG / PA framework**

4. AML, Fraud & Screening Stack

Each transaction is screened **three times**:

1. **Stripe** – card fraud checks
2. **XPay** – internal logic + MOR rules
3. **Xflow** – independent AML, sanctions, RBI-grade checks

- Xflow onboards:
  - XPay as a platform
  - Each underlying Indian merchant
  - Understands source customer + destination merchant
- Xflow is the one fully answerable to RBI for every dollar, not xPay

5. Chargebacks & Liability

Liability

- **Always sits with XPay**
- Reason:
  - XPay is **Merchant of Record**
  - Xflow only earns per-dollar movement fees
- This explains:
  - Why XPay charges **2–3%+ margins**
  - Why the business is **margin-rich but risk-heavy**

Chargeback mechanics

- Chargebacks are **netted against future cash flows**
- No need to pull money back from India **if merchant continues transacting**
- Typical structure:
    - Risk reserves, don't pay out 100% immediately
    - Rolling settlements
    - Withholding until delivery window passes

6. FX, Fees & Economics

- Xflow pricing:
    - Monthly minimums
    - Fixed + variable per-transaction fees
    - FX margin included
- As volume increases:
    - Per-transaction fees reduce
- Xflow does **not participate in MOR margins**

7. FIRC Issuance

- FIRC is:
    - Issued by **JP Morgan (AD Bank)**
    - On JP Morgan letterhead
- Xflow:
    - Facilitates generation, downloads, delivery
    - Acts as **messenger / tech layer**, not issuer

8. Why Xflow Does NOT Do MOR Itself

- MOR requires:
    - Deep **merchant credit underwriting**
    - Appetite for **long-tail, delayed chargeback risk**
- Xflow's philosophy:
    - Horizontal infra player
    - Partner with multiple MoR players across geographies (work with Paddle, Lemon Squeezy as well)
    - Avoid conflicts with partners (like XPay)
- MOR is a **vertical, risk-heavy business**
- If Xflow did MOR:
    - Would compete with all existing partners

9. XPay vs Razorpay

Success Rates (Key Alpha)

- Razorpay international card success rate: **~60–65%**
- XPay checkout success rate: **90%+**
- Not even comparable, per Ashwin

Why Razorpay underperforms

- Razorpay DNA = domestic India

- Asking an India-first PG to solve foreign authorization = structural mismatch
- International payments require:
    - Local routing
    - Foreign issuer relationships
    - Dedicated focus (XPay is “cross-border only”)

Xflow wants to explore strategic partnership with XPay

- Xflow has ~30,000 merchants
- Merchants explicitly ask for:
    - **Higher international success rates**
- Referral economics matter less than:
    - Solving merchant pain
    - Volume growth + retention

10. Checkout Alpha: Tech vs Structure

- Alpha is **both** tech and risk underwriting NOT structure, but:
    - Tech elegance matters
    - **Risk underwriting is the real moat**
- The hardest part of MOR:
    - Credit risk
    - Delivery Window Risk (DWR)

11. Risk Management & Merchant Selection (Key Diligence Area)

Delivery Window Risk (DWR)

- Lower risk:
    - Digital goods
    - Instant services (e.g., App-based services)
- Higher risk:
    - Events
    - Flights
    - Hotels (long delivery windows)

Observations on XPay

- They:
    - Explicitly blacklist certain categories
    - Hold higher reserves for risky merchants
    - Withhold payouts until DWR passes
- Ashwin understands *why* XPay rejects certain merchants without explanation

12. What to Probe Deeply (Ashwin’s Advice)

DO NOT focus on regulation – both sides are green-lit
FOCUS ON RISK
Key diligence questions:

- Merchant onboarding funnel:
    - How many apply?

    - How many rejected?
    - Why?
- Month-on-month onboarding spikes:
    - Risk of adverse selection
- Examples of:
    - Merchants rejected
    - Chargebacks suffered
    - What changed post-failure
- Portfolio mix:
    - Categories touched vs avoided
    - Exposure to long DWR merchants
- TPV pipeline:
    - Where does next $500M / $1B come from?
    - Which merchant cohorts?
- Sales playbook:
    - ICP definition
    - Go-to-market motion

13. Benchmarking vs LemonSqueezy / Paddle / Others

- Evaluation done by:
    - Hands-on product trials
    - Showing multiple MOR checkouts to Xflow merchants
- Merchant feedback:
    - **XPay preferred**
- Evaluation dimensions:
    - Underwriting speed
    - Risk reserves
    - Payout timelines
    - Category experience
    - End-to-end merchant experience
- Outcome:
    - XPay is **leading candidate**
    - Xflow near end of evaluation for strategic partnership

14. Sentiment on Founders & Team

- Positive on:
    - Checkout product quality – ***"we are fans of their work"***
    - Focus
    - Risk awareness
- No red flags flagged
- Key watchout:
    - Discipline in merchant underwriting as volumes scale

Jiten @ Jupiter

- Have seen MOR models - **biggest risk is fraud and charge-backs - both on customer and merchant side - risk capabilities must be very, very strong here**

- **<u>80% of the fraud is customer driven</u>**, rest 20% is merchant driven
  - Customer Frauds include: stolen cards used for transactions, dark web data and then using cards for payments, using the service and then claiming "poor quality" to get money back
    - Maximum frauds are in services and travel - flights/hotels etc.
      - Fraudsters use others cards to book travel and immediately complete the trips
      - Service merchants - end customers just complain that "they weren't satisfied with the outcome/service"
        - Digital services merchants do carry a lot of chargeback risks - no product to prove that txn was completed "satisfactorily"
- Merchant frauds also exist - shell entities, money laundering masquerading as genuine businesses just to bring money back into India etc..
  - What is the quality of these "new-age" merchants?
- **99% of the chargebacks are settled in the favor of customer** so merchant/PG loses money

- **Regulations:** Think US doesn't need a local license for collections but UK and SGP do
  - Ultimately - **RBI doesn't like pooled money/MOR models in India - that's why Rent Pay was shut down for everyone including CRED**
    - This "master merchant" philosophy doesn't work
  - RBI will question cross-border PA-PG players to see what source of money is coming into India
  - Traditionally gaming and crypto have been big contributors to this flow. Also, the anti-money laundering risk is real here
  - But MOR models have existed globally and therefore companies have done this outside India

- **Competitive landscape:** I think Tazapay has done the best job on SMB cross-border payments - scaled to ~150 Cr. Types of net-revenue
  - But founder fatigue is kicking in there so he might be looking for an acquisition
  - Outside of that, in C2B payments, **PayGlocal has performed the best. They are at 50 to 60 crores of annual net revenue run rate**
    - This would be a ~1-1.5% net-revenue business
    - At PayGlocal, Yogesh is the key guy solving for risk. He had done this at Visa and is the person who understands it
    - They have good airline merchants etc.
  - **Why are cross-border payments companies not scaling as fast as domestic payment guys? Is TAM an issue?**
    - **Yes, TAM is an issue -** if you look at Skydo and XFlow, they are going after long tail of merchants who have low TPVs and are hard to acquire
      - Large merchants move money through banks
    - Also, OPGSP onboarding was a pain - now with PA-CB guidelines, RBI has legitimised the business and therefore volumes are increasing
    - Risk and fraud prevention is the other angle that prevents rapid scaling
    - C2B payments TAM is bigger than B2B/SMB cross-border payments TAM

- **Why did you sell your stake in PayGlocal? -** was more of a capital allocation thing and not related to the company. Had to invest my money into Jupiter.

- **Have you looked at these payment models from White Ventures? Why didn't you invest? -** None of the companies made sense from a valuation perspective when we triangulated back to their scale

Suprita Sarkar – Financial Partnerships Head @ Stripe India

Summary – Stripe partners with MOR players globally subject to adherence of respective regulations and clean structures with sound merchant onboarding practices. Model has gained traction considering friction caused by card networks in local clearing of international merchants, PACB has legitimized cross border leg into India and helped. MOR model is itself kosher globally and Stripe hence did the LemonSqueezy acquisition. However, key considerations are from a card network side who don't recognize MORs as a distinct third party and cause frictions (especially when chargebacks inch high), given these eat into their profit pools. Another litmus test for licensing is on whether MORs/any player pool funds on behalf of others, in a particular geography.

As per her, there was also a representation made to RBI on global MOR models when PACB guidelines were issued. RBI's house view is that payment flows into India via either PACB license holders or recognized banking channels matter and hence MOR models in US work.

Basis the above and our meeting with escrow today – key question is under what pretext is Escrow taking customer flows into their JPM FBO a/c before transferring the same to the PA-CB license holder in US – is this leg kosher, rest of it is checkout from multiple chats? We should try to validate from MOR players / regulatory advisors in US via Tegus chats.

Merchant of Record (MOR) Model Framework & Market Position

- Stripe works with MORs globally
- From very large ones to very small ones
- MOR definition and scope
    - Full liability model including compliance, taxation, customer support
    - No watered-down versions exist - complete responsibility package
    - **Functions as a quasi-marketplace**
- Key players and partnerships
    - **Large global MORs: Reach, Paddle, Lemon Squeezy (acquired by Stripe)**
    - Reach works with Stripe in some geos, Adyen in others
    - **Stripe acquired Lemon Squeezy despite card network concerns**
- Distinction from other models
    - Collection agents: tied to specific parent entities/defined merchant sets
    - Marketplaces: formally recognized by card networks with established controls
    - **MORs: no formal recognition by card networks**
- Stripe's position on MOR support

    - Willing to support when operators meet strict standards and applicable regulatory requirements
    - **Requires sound onboarding processes and risk management**
    - Clear merchant signage and customer support capabilities
    - **Due diligence includes money movement audit and control verification**

Card Network Challenges & Commercial Dynamics

- Fundamental recognition gap
    - **Card networks don't recognize MOR as a specific third-party, which could be due to commercial reasons as MORs are fundamentally similar to marketplaces**
    - Marketplaces have clear recognition and established control frameworks
    - MOR operators must self-impose strict governance standards
    - Creates ongoing operational challenges which Stripe intermediates

- **Risk management concerns from card networks**
    - **Opaque wall prevents visibility into end merchants**
    - Multiple violations may appear from single MOR but represent different underlying merchants
    - Requires ongoing assurance with card networks that good merchants are being brought on with right checks – if chargebacks increase then they cause issues

- Commercial vs. risk motivations
    - **Cross-border transactions converting to domestic flows for card networks, hence they are losing out revenue**
    - **Significantly different margin structures between transaction types**
    - Card networks positioned concerns as risk-related but likely commercial impact
    - Informal conversations suggest margin erosion as core concern

Regulatory Framework & Licensing Requirements

- **US regulatory landscape**
    - **State-level money transmitter licenses required for money possession**
    - Must comply with applicable state regulations where operating
    - **MOR operators must either get licensed or partner with licensed entities**

- Money trail principle
    - **Licensing follows actual money possession and movement**
    - **Tech-only layers may avoid direct licensing requirements**
    - Clear partner agreements required when using licensed intermediaries
    - **Licensed parties must understand money origins and purposes**

    - However, when pooling money – while it may not be a requirement it's always helpful to get licensing to aggregate even if its not commercial

- India PA-CB framework impact
    - **There were queries sent to RBI on MOR model when the PA-CB guidelines were stipulated**
    - **Money enters India through either PA-CB route or traditional banking**
    - Banks required to know overseas money antecedents and origins, via either of the above 2 channels
    - PA-CB framework legitimizes online transactions with clear reporting

- **<u>India compliance options for MOR operators</u>**

Establish Indian PA-CB entity

    - Follow all KYC standards and merchant onboarding regulations
    - Provides assurance to partners and regulators
    - Enables clear money movement pipes into India

Partner with existing PA-CB-licensed entity

    - MOR handles risk underwriting and taxation
    - Licensed partner manages actual money movement
    - Clear contractual arrangements required

- Practical implications
    - **PA-CB framework shifts challenge from regulatory uncertainty to technical implementation**
    - Clear audit trail and reporting requirements provide transparency
    - **Initial merchant onboarding rigor addresses RBI concerns about illegitimate transactions (i.e. PA-CB player also onboarding India merchant with all checks)**

Strategic Considerations & Market Dynamics

- MOR model growth drivers
    - Card networks haven't simplified local clearing for international merchants
    - Enables transaction localization in card-heavy markets (US, UK)
    - Aligns with primary markets where Indian exporters sell most
    - Solves domestic transaction processing while enabling cross-border commerce
    - **PACB has legitimized the cross-border leg and hence activity expected to increase**

- Risk vectors and mitigation
    - Merchant-level risks: bad actors, chargebacks, compliance violations
    - Consumer protection: fraud recovery challenges with MOR intermediation
    - **Regulatory risks: unlicensed money handling, unclear compliance**
    - **Mitigation through strict onboarding, clear money trails, proper licensing**

- Key operational requirements
    - Sound merchant onboarding and KYC processes
    - Clear customer communication about MOR role
    - Robust customer support infrastructure
    - Transparent risk management and compliance frameworks
    - Proper licensing or licensed partnerships for money movement

BRC with Vishnu @ Razorpay

21st Jan 2026

- He still finds this a grey area from a "moving funds/touching the money" perspective and unclear for him if XPay manages the money or not
- Razorpay won't do it because they are Indian and have consciously stayed away from the MOR model
    - RZP will use other technology and architectural solves to get to the same SR/Auth rates
    - Yes, success rate is a big difference today
- Today both PayGlocal and RZP are at multi-fold scale of XPay on pure-play C2B cross-border payments (RZP is 10x+ and PayGlocal he said is $400-700M annually)
- **Issue is on both sides -** soon as you become large, **Stripe/card networks wake up (risk of margin-loss) in US and RBI could wake up in India -** (unregulated entity globally in the money flow)
- Frauds and chargebacks are a real risk
- OPGSP was also a "TSP/orchestrator" logic for players but RBI did away with it right and bought in PA-CB? Why would it be different this time around? Only thing is company is domiciled globally and not handling India payments/FX

16th Jan 2026

1. Dodo is full stack MOR - did is everything from payments to compliance v/s xpay is just doing payments MOR
2. ++ Why is this seeing traction?
    1. Lots of Indian business are seeing traction in US - especially for services this is relevant
    2. Higher success rates gives clear momentum - US acquiring under MOR model helps solve this - or else need to do orchestration which requires deep integration and takes time
3. ++ They were first to the Apple Pay unlock – Momentarily their success rates are higher - everyone is integrating Apple Pay now
4. ?? Model is a little grey - No one will be happy with this model because payments are batched and customer fraud can't be caught *(not entirely true)* – also regulator looks down upon business models where there is a license applicable, e.g. PACB here

    1. Why isn't PayGlocal doing this? Same reason
5. Question is how long do they have until they build out the regulatory back end to catch up to the business - Stripe is stopping new MORs
    1. Are the founders cognisant of the risks and can they become full stack with time?
    2. As soon as licensed players give SR, merchants will move
6. ++ Founders have seen a learning curve - good product and tech chops
    1. ?? Found dodo founders better, this Aniket is very cagey – maybe because of competitive angel – Dodo founders are also open to feedback

Technical differentiation would be his ability to do this very quickly in multiple geographies

Amit Jain - Partner, PwC (fintech regulations)

Key takeaways

Amit has consulted Dodo and other MoR models - regulatory view is clean considering these players are TSPs for all practical purposes – they neither touch money nor manage the settlement leg in India -

- Only India incorporated entities can obtain PACB license – fresh licenses are still available, timelines are shorter now infact
- "Touching money" critical for applicability of regulations – platforms orchestrating in a foreign market don't fall under the purview of this – which is the typical MOR model and approach followed by xPay
- Holding nodal a/cs or processing settlements either globally or in India will require license in that particular geography – xFlow has partnered with licensed players for both legs and doesn't do either of these activities basis follow on chat with Aniket
- If MoR players partner with local infrastructure providers having local licenses (like CurrencyCloud) and don't touch money, they are not required to be regulated
- PACB entities responsible for India merchant onboarding and KYC compliance, even when using MOR structures - PACB entities hence need to onboard India merchant as well – xFlow has confirmed they do this as part of the partnership with xPay

Notes

Cross-Border Payment Regulations Overview

- Historical landscape of cross-border payments before PACB unification:
    - RDA (Rupee Drawing Arrangement) for traditional players like MoneyGram, Western Union, PayPal
    - OPGSP for e-commerce digital transactions
    - Specific RBI approvals for periodic collection/payout (Netflix model)
- RBI unified all channels under PACB framework to address compliance gaps
    - KYC issues and fund outflow monitoring concerns
    - All P2B transactions (person to business) now require PACB license

    - Covers both import and export transactions across all instruments

PACB License Requirements & Structure

- Only Indian incorporated entities can obtain PACB licenses
- Foreign payment aggregators (Stripe, Currency Cloud) cannot obtain licenses while sitting outside India
- Must establish partnerships with Indian licensed entities for India operations
- Fresh license is still available; Capital requirements:
    - Day 1: ₹15 crores net worth
    - Year 3: ₹25 crores net worth
- Processing timeline: 6-7 months (down from 1 year previously)

Partnership Models & Operational Framework

- **Foreign-Indian partnership structure:**
    - Foreign aggregators provide international infrastructure and collection capabilities
    - Indian PACB entities handle domestic money settlement and regulatory compliance
    - Example: Cashfree (Indian PACB) partners with foreign aggregators to collect, then settles to merchant in India

- **Virtual account ecosystem and traceability:**
    - Currency Cloud maintains individual virtual accounts for each merchant/sub-merchant (similar to Razorpay's India model)
    - Complete transaction trail available on-demand for FEMA/AML compliance requirements
    - Skydo example: Main account with hundreds of virtual sub-accounts tracking individual merchant transactions
    - In case of a MoR, they would be expected to manage the ledger

- **"Touching money" definition critical for regulatory scope:**
    - Orchestrators routing payments without holding funds = not regulated
    - Holding nodal accounts or processing settlements = subject to local regulations either in US or India

Regulatory Risk Assessment & Open Questions

- **Critical dependency: Whether orchestrator platforms hold nodal accounts abroad**
    - Platforms charging margins (6% collected, 4% paid to processors) may require US licensing if funds flow through their accounts
    - Pure technology orchestration without fund holding remains unregulated by RBI or even US regulators

- **Foreign partner authorization requirements:**
    - PACB providers must ensure foreign partners are regulated/authorized entities if they are touching payments
    - Cannot partner with unregulated collection agents

    - Preference for established infrastructure providers (Currency Cloud) with regulatory oversight.
    - If MoR players partner with such local infrastructure providers and don't touch money, they are not required to be regulated

- **Due diligence requirements:**
    - PACB entities responsible for merchant onboarding and KYC compliance, even when using MOR structures
    - PACB entities hence need to onboard India merchant as well

Adarsh Chokhani – Founder @ Assurekit on Chargeback Insurance

Context – Assurekit provides full stack affinity insurance and has recently launched chargeback insurance as a product. They are also in early conversations with Aniket for onboarding xPay as a client.

Summary

Chargeback insurance as a product is developed in strategic partnerships with insurers. Platforms can either use internal data (need large scale across categories and cohorts) or buy data to help build models and underwrite (expensive). xPay is very early in their journey as per Adarsh to build their own models ($100M scale is negligible for drawing insights) and hence will need to use external data which will require capital infusion. Risk is lower for digital services compared to goods, due to traceability and hence premiums are lower at 0.1-0.3%, while premium for goods go up to 3%. Aniket is currently focused on digital services but intends to enter goods as a category as well. He thinks Aniket recognizes the need to have a bundled insurance offering considering he is spending time with Nikhil @ Bureau to understand fraud underwriting, and he also mentioned to Adarsh the competitive disadvantage to not have it while scaling up, both from a merchant conversion and managing losses perspective.

Notes

Market Size and Global Chargeback Landscape

- Large addressable market exists beyond India's smaller domestic chargeback problem
    - **Global chargeback premium market: $2B annually**
    - India represents subset of global market, with outbound sales recently gaining momentum

- Three-party ecosystem structure essential to understand:
    - **Seller, platform, buyer all involved in chargeback risk chain**
    - **Risk typically absorbed by either platform or seller**
    - Platforms often pass chargeback costs downstream to merchants

Risk Assessment and Product Categories

- **Consumer goods represent highest risk category**
  - Physical products lack clear proof of delivery mechanisms
  - Consumption happens before potential chargeback fraud occurs
  - Recovery and recourse options limited once goods consumed

- **Digital services offer substantially lower risk profile:**
  - Clear delivery confirmation available
  - Cancellation and reversal mechanisms straightforward
  - Recovery course direct to customer or issuing entity

- **Premium pricing** reflects risk differential:
  - **Digital services: 0.2-0.5% due to manageable fraud patterns**
  - **Physical goods: 1-3% depending on coverage scope and value-added services**
  - Pricing varies based on geographic exposure and merchant risk profile

Underwriting Infrastructure and Network Effects

- Customer data and transaction volume critical for effective risk assessment
  - Requires building propensity models based on merchant behavior patterns
  - Customer intent analysis
  - Network analysis across entire transaction ecosystem

- Network effects threshold clearly defined at 1,000 similar-intent transactions:
  - Magic number for pattern recognition across RTOs, returns, chargebacks
  - Enables transition from generic models to customer-specific underwriting
  - Allows identification of where, when, and who creates risk patterns

- Data goldmine enables expanded product offerings:
  - Post-purchase experiences: warranty, guarantee, buyback structures
  - India warranty/guarantee market largely underserved
  - Ecommerce ecosystem large enough to support multiple product lines

Payment Gateway Integration and Market Structure

- Chargeback protection operates as attachment product to larger payment infrastructure
  - All major players (Stripe with Radar, others) offer downstream insurance products
  - **Merchants charged 2-3% of transaction value for comprehensive coverage**
- US operational complexity creates barriers:
  - 50 states effectively operate as 50 different jurisdictions
  - Regulatory and compliance requirements not “walk in the park”

    - MOR models offer advantage: sell outside India but book losses domestically for cost efficiency
- Market controlled by established cartels requiring strategic entry approach

XPay Partnership Exploration and Industry Dynamics

- Active discussions with Aniket for chargeback protection integration:
    - Connected through Nikhil at Bureau, who is close to Aniket
    - **Aniket recognizes need: "insurance banana toh hai, nahi toh unki phat legi"**
    - Wants to start small but work toward comprehensive risk management
- **Current stage and challenges for Aniket:**
    - Early in risk underwriting journey, difficult to design cohorts pre-$100M monthly volume
    - Cross-category exposure provides merits but requires time to develop
    - Competition already offering chargeback solutions, creating urgency
- Pricing and data acquisition concerns:
    - **Aniket thinking from Indian cost perspective despite US risk exposure**
    - **External US data pings extremely expensive compared to India (much higher than 0.1-0.2%)**
    - May require capitalizing expensive data acquisition as business investment
    - Indian pricing won't apply to international risk exposure
- Infrastructure requirements:
    - **Must build internal underwriting engines rather than rely on external data**
    - **US data costs 5x+ more expensive than Indian equivalents**
    - Need sufficient capital to manage loss ratios during scaling phase

Lauren Teo – APAC Startup coverage lead @ Stripe

Exchanged texts with her on WA as she is travelling

Summary – Contrary to Vishnu's (Razorpay) BRC, Stripe is quite positive and open to working with MOR players, however only for the transaction leg outside of India

- DT - *basically the broad house view on partnering with these players - what are the pros/cons and also regulatory aspects to be considered*
- Lauren - *We're* ***open to working with MOR companies for their cross border (outside India) transactions. We've partnered with a couple and have seen huge success too****!*
- DT - *Got it! Also had confusion on whether this needs to be covered under the PA-CB license gambit or considering the transactions are outside India it's more governed by country where transactions are originating*
- Lauren - *The latter. We won't be able to support Domestic transactions for the first reason*

Team Views

AP, Dhairen (23st Jan 2026)

- + Good to see the execution focus:
    - Didn't want the meeting to cross 1 hour - time issues and said we can setup an hour again but let's stick to schedule
    - We had gone on Friday - they ordered food in office for their team lunch. When probed why they wouldn't go out for meals - said too much of a time waste and "6 people travelling in BLR is loss of 1 man day on execution"
    - Good collegial team vibe with a frugal yet well setup office
- + Ambition is clear - lots of white-boarding, $2B TPV target set internally and written on the white-board
- + Can see and feel the hustle in the office, but Aniket and Rakshit seem to be the only thinkers...
    - +/? Team is essentially young college kids - more hustle-first execution people and will follow Aniket's directions
- ? Biggest disappointment for me was the P&L and business thinking
    - Felt it was below hygiene to be honest - he didn't understand why he needs to raise capital despite being profitable
    - $9-10M will be spent in 18 months under "investments and capex" but he doesn't understand the P&L and cashflow implications
    - Defers to Rakshit and fractional CXO when it comes to finance matters, but they aren't super solid either. Some turning of heads towards each other when asked 2nd/3rd level questions
        - The fractional CXO he has hired wasn't comforting either - new guy setting up his own shop and not the credible, institutional likes
- ? Strategic thinking wasn't inspiring either - answer to whether he would move to Dubai/SGP was in zest, but his response showed a lack of nuanced thinking
    - "Haan chale jayenge, usme kya hain. If the business needs it, we will do it and my wife will be very happy and we can watch Wimbledon there..."
    - I am less worried about whether he will do it and confident he would - but same FF learning journey and will make mistakes and learn?
- ? Company becomes unprofitable post investment and then becomes profitable in 5-6 months
    - Founder salaries move from $4.5k USD/month per founder to $7.5k USD/month
    - That translates to 82.5 L per annum per founder and seems out of whack for me...
    - Traction flatt-ish for last 4-5 months and in the same $7.5-8M per month TPV zone. I understand his seasonality + chunkiness of merchant acquisition arguments but discomforting for a traction deal? Reminiscent of the Skydo b-plan where things didn't scale at all after we passed them...

His message to Goteti was that he wants to raise at $75M types and guided by his CFO on valuation - multiple on $6M gross-revenue run-rate. I am honestly comfortable passing if it gets to that.

Post the IDS, clear to me that this is a seed+ bet on a rapidly compounding FF with multiple leaps of faith on the market/business model and his ability to build a financial services business (that is far more complex than what RZP built back in the day). So - I am seeing this as a $3-4M two-handed cheque, and $6-7M round at best if we cross the line and really close to seed valuations.

VV, AP, Dhairen (21st Jan 2026)

VV

Should be a $5-6M raise at best

- All of the super hi-po hi alpha guys at this time will be in this margin of WYSWYG – paddling so hard and don't know what they don't know
- Something clearly that is working
- Very interesting founder from an intrinsics perspective
- Wants to build a global company – most likely will be soon based out of London/Dubai/etc – need to look at it from a global perspective
- Not as negative as AP – real product, real business, entrepreneurial unlike nakad/jodo
- But underestimates the kind of risk that could wipe him off – needs someone like us

Next steps

- Need to have a sharp MOR thesis - Feel woefully ill-equipped to underwrite a global MOR business and hence need to spend time
    - How large can it be - India TAM – not a big believer considering other cross border plays and he hasn't scratched the surface on any true enterprises; which wont be easy either
    - Why now
    - Why has it never worked before
- Need someone highly technical to validate this – someone who also knows and understand these MOR models – smart money, Amrish, expert chats, Skydo
- Action Tegus
- Connect to founders – Jiten, Anil

Anish

Should do team meeting on Mon/Tues and not rush it; Should be a $5-6M raise

+? Says all right things but feel in gut one of the guys who will do what he wants – move fast, break things – same Rajan playbook
?? Market – how many such digital services businesses will be there – does cross border have a TAM problem? Will this guy be a global maxima?

++ Outside in – spends time with people

DT - Maybe+
Like him more with every meeting - Needs to be a reasonable price and cheque size, can't do this at a crazy price considering the unknown-unknowns that will exist across multiple geographies

+? Overall keen to work with Aniket as a founder, need to get comfort on the business model

++ Outside in, high depth, thoughtful / signs of infinity on org building -

- Hiring from taza pay, paypal for roles like risk - getting 0 to 1 entrepreneurial guys for business
- Quoting case laws
- He wants to surround himself with the right people, also coming up in BRCs

+? While deep risk thinking doesn't exist – says he wants to "win with risk and compliance as an edge", top priority for next 6 months - team building (Tazapay hire), capital allocation in this round – riskified partnership, insurance, orchestration of different risk providers from the world, going merchant backwards

++ Enterprise motion is very strong - swiggy, indigo, yatra are all in pipeline - ability to hustle and open doors is quite good

?? Stripe chat gave some good comfort on MOR model but still not fully convinced and there are many unknown-unknowns. Will do more work on -

- Need to speak with more folks across PA-CB, MOR, regulatory advisors in US and Assurekit for insurance angle
- Build more comfort on MOR models
    - Margin profile – what is the role of forex income?
    - Chargeback risks and how do others underwrite them – what does it take to build a good business here
    - Regulatory angles
    - POV of other PA-CB players like Skydo
    - Value creation

Avi, VV, AP, Dhairen (19th Jan 2026)

Avi – Strong Maybe

Overall Views
- Strong maybe to dig in much deeper but lots of work to do
- Repeat of Razorpay's early story (authorization rates) applied to the right segment of cross-border payments but with jugaad approach (learned at father's knee)
- Different from Razorpay founders in that regard

- Like the founders but wary on the regulatory arbitrage

Traction Framework
- TAM = 8/9
- Category Leadership = ???
- Market Structure = ???
- WTW (what if it works) = 9

Founder Archetype
- Z = 1
- One of the most first principles thinkers met in recent times
  - From his Dad to problem solving to what he respects ("innovation") to Elon Musk references
- Thoughtful life story
- Driven + ambitious
  - "Elon Musk is not 1 person - he is 15 people"
- IIT Roorkee Computer Science background
- Baniya background with business family influence

Other Positives
- Early traction in large market + positive thesis area
- we Avoided type 1 errors in Skydo/Xflow if we do this - very relevant to today's discussion
- Providing innovative payment methods like EMIs upfront - reimagining stack like Anurag

Other Questions/Concerns
- Regulatory arbitrage sustainability
  - Most important question to get comfortable with given RBI views
- Customer love and value proposition sustainability
- Whether "jugaad" approach is sustainable long-term
- Wariness on whether founders are genuine or too glib
- Need more time to understand how real the traction is
- worry less about revenue concentration - most platforms get started around anchors.

Next Steps
- Visa/MasterCard/Bank conversations for validation
- Deep customer due diligence
- Ex-employee background checks - need to find more negatives
- Request business plan to check numerical and commercial thinking
- BRCs on Trust would also be needed

VV – Strong Maybe, subject to regulatory checks

1. ++ In your face spikey, not seen in a while - raw intrinsics - early childhood, IITR, Goldman, achievement track record consistently - highly entrepreneurial - learnings from past journey

2. ++ Thoughtful – answers on cross-border peers, doesn't come often with FFs
3. ++ FFs faulter on orgs and business building – heard a lot of learnings from others, not absent
1. ++ Co-founder was a good guy, highly technical – however, not in the same league as Shashank - could surprise, but Aniket is a notch above
2. ?? Does MOR model work - we won't get full clarity but need to know this won't get fully screwed - need to get paid for the risk

Open questions

1. Regulatory is an overall hole - want comfort that he thinks of it as existential
2. Business and commercial - very early

Next steps

1. Feedback on Rakshit from Swapnil @ Observe,
2. Feedback on Aniket from Rajan @ Slice,
3. Chat with Shri Mohan Yadav on model
4. Banking partner chats (ICICI or others)
5. Softly check ecosystem views (Jiten, Razorpay)
6. Is there a org restructure required basis the above on regulations?
7.

AP: Maybe +ve

Can get to Strong Maybe basis underwriting pipeline/repeatability of sales motion, getting comfort on the regulatory situation and IDS on org. and capital allocation

+ Track record of achievement shines through
+ Zpikey was lot clearer in today's meeting

- Thoughtful, has clarity and is supremely ambitious
- Wants to build something and prove a point. *"Elder brother was smarter than me"* - so chip on the shoulder
- ? Also think there is some amount of positioning here so need to verify if he delivered at Slice and how much of this ambition is real. The trust issue/faking risk is real and can feel it

+ Post XFlow ref - clear that pain-point is real and Razorpay might not be structurally suited to solve this. Disruption and building a cross-border RZP is the thesis?
+ Baniya mindset and shows in the profitability and amount of capital raised

? Refs on coach-ability. Worried that he is adamant/strong views strongly held

- How will he react when he is confronted with curve-balls in the journey
- Was hard to connect with in earlier interactions, though he has warmed up over time

? What is the real TAM here. How many companies can he go after that are high-quality with low charge-backs before he taps out?

- Are we underwriting a global company here? Then what is his right to win in US-UK-Europe-Asia corridors from a GTM and product perspective

? Thoughts on scalable GTM/sales playbook for the segment beyond founder sales - need to IDS

? Wary of Co-founder quality. Rakshit's introduction was pompous and B*** S***

- Will they split sometime down the line? Will Aniket grow out of Rakshit and seek to be a solo co-founder?

? Usual FF issues of org. and capital allocation. He doesn't have a detailed MoM business plan....

Dhairen – up meeting, Maybe+ to SM; will swing basis regulatory view

1. ++ Like his intrinsics - H&H, confident, ambitious, high IQ, good seller
2. ++ Outside in, first principles - customer backwards, views shared on competition
3. ++ Commercial mindset
4. ++ Depth is there - thoughts on global flows driven SR, chargebacks (wants to earn risk)

5. +? Need to form a clear view on model and regulations –
    1. Network chats with banking partners
    2. Regulatory view on MOR in US and India
    3. Why can't PACB guys build this if they are anyways managing the India leg or how hard is it for xPay to build the PA-CB/Gift rails?
6. +? Chip on shoulder - yearns to be a high achiever - but then is he iterative, reflective to learn and cover blind spots?

7. ?? Found Rakshit's intro very random
8. ?? Regulations and his view on it - downside of the aggressiveness and ambition we are liking here

AP, Dhairen (15th Jan 2026)

AP: Maybe

Like the traction and momentum, but he wants to raise $10M at $60-70M post-money which makes no sense for $1.2-1.4M of net-revenue traction. However, we should surely get a 2PE from VV here.

+ Entrepreneurial guy who has been out and out a founder through his life
+ Zpikey is not 1 but between 0.5-1
+ Some pattern match with RZP? Young CS grad building in payments, SDS Labs experience etc. Small team that has delivered a lot

1. ? Question though is on quality and technical edge (which seems to be less basis chats below) and more of a payment collection structuring problem

+ Traction gives a pause. $100M annualised TPV at 5-6% gross-margins. Real net-revenue is closer to $1.5M ARR post PG charges

1. Profitable monthly and built this with 6 people

+ Confidence and conviction in creating a large outcome

? Beta in the guy? Strong headed and sort of arrogant/dismissive - felt like we were pitching to him at times vs. the reverse

? Regulatory risks - this seems like something RZP, PayGlocal and others like Dodo Payments have not done/pivoted away from as it steers away from the regulated PA-CB regime

1. Founder outlook on regulations - seemed more cow-boyish - *“pehle 0-1 figure out karenge startups main and then regulations"*

? Quality of customers and actual SAM/SOM - these are not true "enterprise merchants” and more Mid-market. How many of them really exist and at what scale beyond the likes of Bhanzu, AppsForBharat and AstroTalk?
? Past views on the guy but I think he seems to have grown well

Dhairen - Maybe
Would’ve been much more excited for a seed stage bet here as part of a $3-4M round, good chance it lands there as well. Think we should do a 2PE with VV from that perspective, considering founder is spikey 0.5-0.7, area of interest, the momentum on traction is the best we have seen at this stage and positive customer feedback.
++ Very outside in – identification of problem statement - identified apple pay, Klarna as wedge into US markets for better conversions – much before peers that are from domain and heavily funded
++ Entrepreneurial, high on H&H, hacky, aggressive – built this with 5-6 people and negligible $0.5M capital
++ Traction is on fire - $100M TPV - $6M gross ARR - $1.5M net ARR – 60 lakhs+ monthly PAT

1. Comparatively, Dodo is at ~$10.5M TPV and $750k gross ARR

?? Possible regulatory grey view on MOR model is the key concern, especially considering there is a licensed way to do this business (PACB) – more excited about Glomo from that perspective – building local clearing capabilities and unlocking enterprises under a compliance led model
?? Concentration - $50M TPV from astrotalk, overall TPV is $100M – though this is a feature given stage of business
?? Clear FF traits –

1. Regulatory thinking lacking - "solve for 0 to 1 first and then regulatory requirements"
2. Not thoughtful – answer on what’s the edge – didn’t hear any new insights on solving risk, “go after enterprises to solve for chargebacks”

?? Strong headed – chip on shoulder attitude – will he be able to take feedback, build teams